THE INVESTigator

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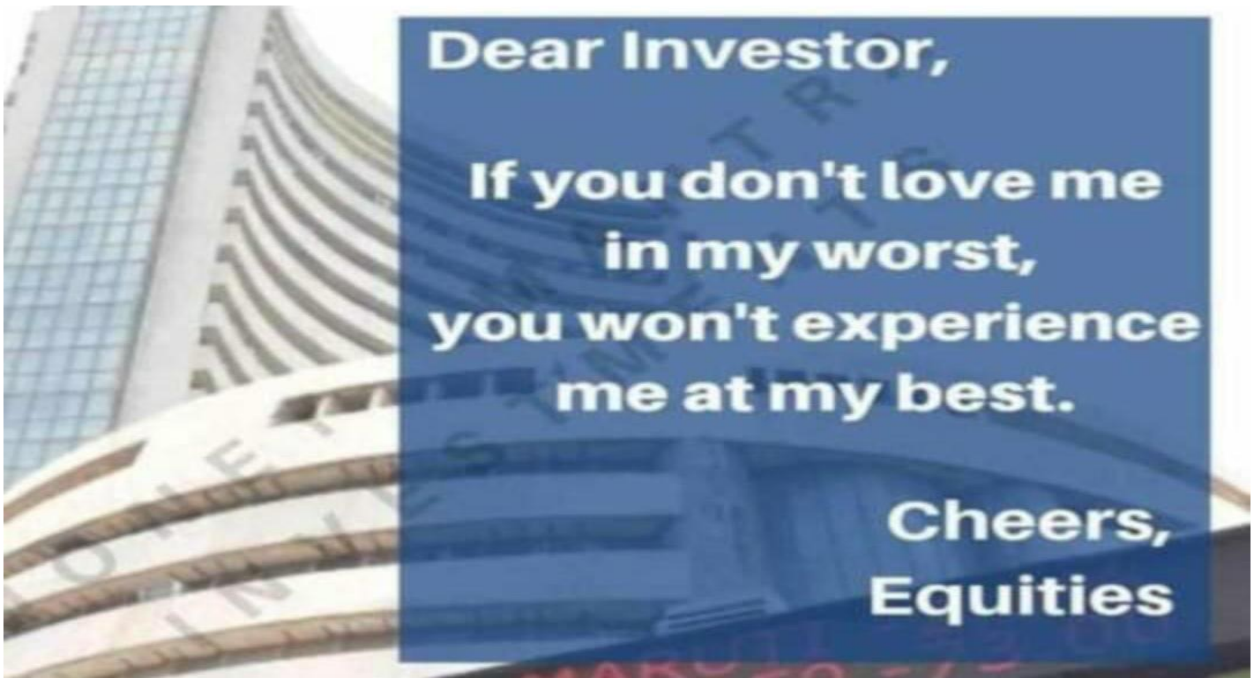
QUOTE OF THE YEAR 2020



SEBI Modifies NAV Rules for Mutual Fund Schemes

- ✓ SEBI recently issued a circular that mutual fund schemes shall allot NAV on units on the basis of when the amount is realised irrespective of the size or time of the investments. The new rules will be effective from 1 January 2021.
- ✓ The provision does not apply to liquid and overnight funds as the realisation of funds on the same day is already required for purchases in such schemes.
- ✓ At present, mutual fund investors with cheque values of less than Rs 2 lakh per application get the NAV of the product on the same day of purchase, when made before the cut-off time.
- ✓ It is widely believed that the change in rules was brought-in as investors used to put multiple cheques of Rs 1.99 lakh to take advantage of the loophole.
- ✓ As per the new circular, the money should also reach the mutual fund house on the same day for that day's NAV to be applicable. This would not be a problem in case of net banking but there could be some lag in case of cheque payment.
- ✓ The change will create a level playing field for investors across mutual fund schemes and it is also likely to increase the use of digital payments.

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> You can't predict. You can prepare.
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> --Howard Marks

ALLOCATION TO INTERNATIONAL EQUITY FUNDS IS NECESSARY

International funds are equity funds that invest in stocks of companies listed outside India. These funds help investors invest in some of the biggest companies in the world.

- ✓ Get exposure to global leaders like Facebook, Google, Amazon, etc.
- ✓ Good way to reduce portfolio risk as markets around the world rarely go down together.
- ✓ Suitable for long term horizon of 5 years and above.

How are these funds taxed?

Gains from international funds are taxed at the marginal rate if they are sold within three years from the date of purchase. The gains realized from the sale after three years are taxed as Long - Term Gains and eligible for indexation benefits in the year of sale (20% with indexation).

Depending on the geographical presence of the portfolio, these funds are classified in two types – region specific and investing across the globe. Region specific funds invest in stocks of specific country or continent like US, Europe, etc.

Depending on the mode of investing these funds are of three types.

i. Funds that invest directly

These are funds which are directly handled by the local fund manager. Instead of relying on a fund manager who lives offshore, a local fund manager manages portfolio.

ii. Funds that invest indirectly

These funds are known either as feeder funds or pure fund of fund— because they pool in money from local investors and then transfer the corpus to the parent fund which is managed offshore.

iii. Funds that invest only a portion in foreign equity

These funds have a mix of both domestic and global funds. Hence, they are better choices for the moderate risk taker as they provide limited exposure to foreign equities while maintaining focus on the domestic market and thus enhance your portfolio's tax efficiency.

Returns as on 03 Dec 2020 of a few good International Funds are given below.

	1 year	**3 years**	**5 years**
PGIM India Global Equity Oppn Fund	**67.58%**	**29.45%**	**18.10%**
Franklin India Feeder US Oppn Fund	**44.45%**	**25.89%**	**18.37%**
ICICI Pru US Bluechip equity Fund	**22.60%**	**19.18%**	**15.94%**
Motilal Oswal Nasdaq 100 FOF	**54.50%**	**30.45%**	**23.64%**

[Returns more than one year are CAGR. Past performance does not guarantee future returns]

INVESCO INDIA – INVESCO GLOBAL CONSUMER TRENDS FUND OF FUND

- An open - ended fund of fund investing in an international portfolio of companies engaged in design, production or distribution of products and services related to the discretionary consumer needs of an individual. Simply put, the fund invests in a theme based on how a consumer spends his time and money.
- Almost 31% of the portfolio is invested in e- commerce, 22% in Restaurants, Hotels & Casinos, 17% in Video gaming and Entertainment and 9% in Internet and Social Media.
- Track record of 26 years with AUM of over $2.76bn [Rs 20416 Cr] as of Oct 2020.
- Presently, the geographical weightage of the portfolio is 65% in US, 12% in China, 7% in Japan and rest in others.
- In INR terms, the performance of the fund as on 31.10.2020 is 41.23% [1 year], 20.16% [3 years], 19.08% [5 years] and 22.62% [10 years]. Returns for more than one year are CAGR.
- NFO Closes 18 Dec 2020.

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UTI Small Cap Fund

- The preferred allocation in the fund would be 65-80% in Small Caps and 20-35% in Midcaps
- The participation of Small Caps in the current rally has been selected and therefore there is enough scope for small caps to perform.
- Looking at the timing of the fund, investors who do not have prior exposure to small caps can invest small amounts for 3 – 5 years.
- NFO opens on 02 Dec 2020 and closes on 16 Dec 2020.

HDFC Dividend Yield Fund

- The fund will invest min 65% of its assets in dividend yielding companies or ones that choose to do a buyback in addition of payment of dividend or in lieu of dividend.
- Preference will be given to stocks having consistent track record of paying dividends and having dividend yield higher than Nifty 50 index.
- It is important to note that in last 10 years, the CAGR of Nifty 50 is 7.83% while the CAGR of Nifty Dividend Opportunities 50 is 9.70%.
- NFO opens 27 November 2020 and Closes on 11 Dec 2020.

Axis Special Situations Fund

- The fund will invest in companies that provide growth by becoming a change agent themselves or by adapting to changes in the sector. For instance, the fund will explore opportunities in e-commerce logistics, digital payments, renewable energy, online gaming, OTT platforms, etc.
- The fund will be Multi-cap, Multi- sector fund and will also invest up to 30% in Global stocks.
- Overseas investments will be advised be Schroder Investment Management Ltd [partners of Axis MF] based on their investment philosophy on the said theme.
- NFO opens 4th Dec 2020 and closes on 18th Dec 2020.

Nippon India Passive Flexicap Fund of Fund

- The fund will invest in the indices such as Nifty 100, Nifty Midcap 150 and Nifty Small Cap 250 Index. In this way the exposure of the fund will be to the entire Nifty 500 stocks. The products will be inhouse products of Nippon i.e ETF's and Index Funds.
- The investment will be made on the basis of the industry's Multicap category allocation as provided by CRISIL every month. The rebalancing will be done on monthly basis.
- Being a passive fund, it endeavours to eliminate Fund Manager biases towards market cap allocation and sector/stock selection.
- Being a Fund of Fund, the taxation will be of a Debt fund.
- NFO opens 10 Dec 2020 and closes on 24 Dec 2020.

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BSE Sensex 30 Year-wise returns

Year	Open	Close	Gain/Loss	Gain/Loss (in %)	Average Returns
1991	1027.38	1908.85	881.47	85.80%	85.80%
1992	1908.85	2615.37	706.52	37.01%	61.41%
1993	2617.78	3346.06	728.28	27.82%	50.21%
1994	3436.87	3926.90	490.03	14.26%	41.22%
1995	3910.16	3110.49	-799.67	-20.45%	28.89%
1996	3114.08	3085.20	-28.88	-0.93%	23.92%
1997	3096.65	3658.98	562.33	18.16%	23.10%
1998	3658.34	3055.41	-602.93	-16.48%	18.15%
1999	3064.95	5005.82	1940.87	63.32%	23.17%
2000	5209.54	3972.12	-1237.42	-23.75%	18.48%
2001	3990.65	3262.33	-728.32	-18.25%	15.14%
2002	3262.01	3377.28	115.27	3.53%	14.17%
2003	3383.85	5838.96	2455.11	72.55%	18.66%
2004	5872.48	6602.69	730.21	12.43%	18.22%
2005	6626.49	9397.93	2771.44	41.82%	19.79%
2006	9422.49	13786.91	4364.42	46.32%	21.45%
2007	13827.77	20286.99	6459.22	46.71%	22.93%
2008	20325.27	9647.31	-10677.96	-52.54%	18.74%
2009	9720.55	17464.81	7744.26	79.67%	21.95%
2010	17473.45	20509.09	3035.64	17.37%	21.72%
2011	20621.61	15454.92	-5166.69	-25.05%	19.49%
2012	15534.67	19426.71	3892.04	25.05%	19.75%
2013	19513.45	21170.68	1657.23	8.49%	19.26%
2014	21222.19	27499.42	6277.23	29.58%	19.69%
2015	27485.77	26117.54	-1368.23	-4.98%	18.70%
2016	26101.50	26441.51	340.01	1.30%	18.03%
2017	26711.15	33889.39	7178.24	26.87%	18.36%
2018	34059.99	36239.19	2179.20	6.40%	17.93%
2019	36161.80	41607.49	5445.69	15.06%	17.83%
2020	41349.36	44341.19	2991.83	7.24%	17.48%

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